

IN THE SENATE

SENATE BILL NO. 1363

BY FINANCE COMMITTEE

AN ACT

RELATING TO APPROPRIATIONS TO NATURAL RESOURCES; APPROPRIATING MONEYS TO THE DEPARTMENT OF ENVIRONMENTAL QUALITY, THE DEPARTMENT OF FISH AND GAME, THE ENDOWMENT FUND INVESTMENT BOARD, THE DEPARTMENT OF LANDS, THE DEPARTMENT OF PARKS AND RECREATION, AND THE DEPARTMENT OF WATER RESOURCES FOR FISCAL YEAR 2027; LIMITING THE NUMBER OF AUTHORIZED FULL-TIME EQUIVALENT POSITIONS; PROVIDING REMEDIATION PROJECT REPORTING REQUIREMENTS; APPROPRIATING AND TRANSFERRING MONEYS FROM THE WATER POLLUTION CONTROL FUND TO THE ENVIRONMENTAL REMEDIATION (BASIN) FUND; APPROPRIATING AND TRANSFERRING MONEYS FROM THE WATER POLLUTION CONTROL FUND TO THE AGRICULTURAL BEST MANAGEMENT PRACTICES (BMP) FUND; PROVIDING REQUIREMENTS FOR THE USE OF THE WATER POLLUTION CONTROL FUND; PROVIDING REAPPROPRIATION AUTHORITY FOR THE ARPA STATE FISCAL RECOVERY FUND; PROVIDING REQUIREMENTS FOR THE USE OF THE ARPA STATE FISCAL RECOVERY FUND; DIRECTING THE USE OF THE GENERAL FUND APPROPRIATION; PROVIDING A CONTINUOUS APPROPRIATION FOR CERTAIN COSTS OF THE ENDOWMENT FUND INVESTMENT BOARD; PROVIDING FOR THE TRANSFER OF MONEYS FROM EARNINGS RESERVE FUNDS TO INCOME FUNDS; EXEMPTING THE APPROPRIATION FOR THE FOREST AND RANGE FIRE PROTECTION PROGRAM FROM EXPENSE CLASS TRANSFER LIMITATIONS; PROVIDING REAPPROPRIATION AUTHORITY FOR THE CAPITAL DEVELOPMENT PROGRAM; EXEMPTING THE APPROPRIATION FOR THE DEPARTMENT OF PARKS AND RECREATION FOR OPERATIONS PROGRAM GRANTS FROM EXPENSE CLASS TRANSFER LIMITATIONS; APPROPRIATING AND TRANSFERRING MONEYS FROM THE GENERAL FUND TO THE SECONDARY AQUIFER PLANNING, MANAGEMENT, AND IMPLEMENTATION FUND; APPROPRIATING AND TRANSFERRING MONEYS FROM THE GENERAL FUND TO THE WATER MANAGEMENT FUND FOR FLOOD MANAGEMENT; APPROPRIATING AND TRANSFERRING MONEYS FROM THE GENERAL FUND TO THE WATER MANAGEMENT FUND FOR WATER PROJECTS; DIRECTING THE USE OF FUNDS FOR WATER MANAGEMENT FUND PROJECTS; PROVIDING FOR ACCOUNTABILITY REPORTS; PROVIDING FOR CONDITIONS, LIMITATIONS, AND RESTRICTIONS; AND DECLARING AN EMERGENCY AND PROVIDING AN EFFECTIVE DATE.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. There is hereby appropriated to Natural Resources the following amounts to be expended according to the designated programs and expense classes from the listed funds for the period July 1, 2026, through June 30, 2027:

	FOR	FOR	FOR	FOR	
	PERSONNEL	OPERATING	CAPITAL	TRUSTEE AND	
	COSTS	EXPENDITURES	OUTLAY	BENEFIT	TOTAL
				PAYMENTS	
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5	I. DEPARTMENT OF ENVIRONMENTAL QUALITY:				
6	A. ADMINISTRATION AND SUPPORT SERVICES:				
7	FROM:				
8	Department of Environmental Quality (General)				
9	Fund \$3,369,500	\$1,825,700	\$1,855,800		\$7,051,000
10	Air Quality Permitting				
11	Fund 232,900	51,600	23,500		308,000
12	Public Water System Supervision				
13	Fund 350,300	73,000	74,500		497,800
14	Environmental Remediation (Box)				
15	Fund 15,500	10,000			25,500
16	Environmental Remediation (Basin)				
17	Fund 20,000	14,400	12,600		47,000
18	Department of Environmental Quality (Receipts)				
19	Fund 351,700	111,100	95,900		558,700
20	Idaho Underground Storage Tank Program				
21	Fund 59,100	15,900	18,400		93,400
22	IPDES Program				
23	Fund 318,000	50,500	58,100		426,600
24	Bunker Hill Trust				
25	Fund 4,200	6,800	5,900		16,900
26	Department of Environmental Quality (Federal)				
27	Fund 1,680,000	1,211,600	1,180,200		4,071,800
28	ARPA State Fiscal Recovery				
29	Fund <u>4,900</u>	<u>0</u>	<u>0</u>		<u>4,900</u>
30	TOTAL \$6,406,100	\$3,370,600	\$3,324,900		\$13,101,600
31	B. AIR QUALITY:				
32	FROM:				
33	Department of Environmental Quality (General)				
34	Fund \$5,297,200	\$213,600			\$5,510,800
35	Air Quality Permitting				
36	Fund 1,526,800	59,700			1,586,500
37	Department of Environmental Quality (Receipts)				
38	Fund 446,400	393,000		\$300,000	1,139,400

	FOR	FOR	FOR	FOR	
	PERSONNEL	OPERATING	CAPITAL	TRUSTEE AND	
	COSTS	EXPENDITURES	OUTLAY	BENEFIT	TOTAL
				PAYMENTS	
1					
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5	Department of Environmental Quality (Federal)				
6	Fund	<u>1,242,600</u>	<u>1,971,200</u>	<u>1,241,400</u>	<u>4,455,200</u>
7	TOTAL	\$8,513,000	\$2,637,500	\$1,541,400	\$12,691,900
8	C. WATER QUALITY:				
9	FROM:				
10	Department of Environmental Quality (General)				
11	Fund	\$9,937,200	\$1,765,500	\$488,500	\$12,191,200
12	Public Water System Supervision				
13	Fund	1,677,800	299,700		1,977,500
14	Department of Environmental Quality (Receipts)				
15	Fund	663,900	743,700	1,771,600	3,179,200
16	IPDES Program				
17	Fund	1,371,400	196,400		1,567,800
18	Department of Environmental Quality (Federal)				
19	Fund	6,542,500	13,440,000	2,333,200	22,315,700
20	ARPA State Fiscal Recovery				
21	Fund	<u>32,900</u>	<u>0</u>	<u>0</u>	<u>32,900</u>
22	TOTAL	\$20,225,700	\$16,445,300	\$4,593,300	\$41,264,300
23	D. COEUR D'ALENE BASIN COMMISSION:				
24	FROM:				
25	Department of Environmental Quality (General)				
26	Fund	\$214,500	\$10,200		\$224,700
27	Environmental Remediation (Basin)				
28	Fund	186,800	15,500		202,300
29	Department of Environmental Quality (Federal)				
30	Fund	<u>16,100</u>	<u>0</u>	<u>\$50,000</u>	<u>66,100</u>
31	TOTAL	\$417,400	\$25,700	\$50,000	\$493,100
32	E. WASTE MANAGEMENT AND REMEDIATION:				
33	FROM:				
34	Department of Environmental Quality (General)				
35	Fund	\$3,094,800	\$156,200	\$94,600	\$3,345,600
36	Environmental Remediation (Box)				
37	Fund	283,800	97,300	210,500	591,600

	FOR	FOR	FOR	FOR	
	PERSONNEL	OPERATING	CAPITAL	TRUSTEE AND	
	COSTS	EXPENDITURES	OUTLAY	BENEFIT	TOTAL
				PAYMENTS	
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5	Environmental Remediation (Basin)				
6	Fund	292,900	58,500	280,000	631,400
7	Department of Environmental Quality (Receipts)				
8	Fund	1,067,200	1,166,600	51,800	2,285,600
9	Idaho Underground Storage Tank Program				
10	Fund	296,800	25,000		321,800
11	Bunker Hill Trust				
12	Fund	139,900	4,390,000	375,000	4,904,900
13	Department of Environmental Quality (Federal)				
14	Fund	3,183,000	8,242,900	2,500,500	13,926,400
15	ARPA State Fiscal Recovery				
16	Fund	<u>13,400</u>	<u>0</u>	<u>0</u>	<u>13,400</u>
17	TOTAL	\$8,371,800	\$14,136,500	\$3,512,400	\$26,020,700
18	F. IDAHO NATIONAL LABORATORY OVERSIGHT:				
19	FROM:				
20	Department of Environmental Quality (General)				
21	Fund	\$179,100	\$8,700		\$187,800
22	Department of Environmental Quality (Federal)				
23	Fund	<u>1,301,200</u>	<u>1,318,800</u>	<u>\$146,900</u>	<u>2,766,900</u>
24	TOTAL	\$1,480,300	\$1,327,500	\$146,900	\$2,954,700
25	DEPARTMENT				
26	TOTAL	\$45,414,300	\$37,943,100	\$3,324,900	\$96,526,300
27	II. DEPARTMENT OF FISH AND GAME:				
28	A. ADMINISTRATION:				
29	FROM:				
30	Fish and Game				
31	Fund	\$6,206,600	\$5,893,100		\$12,099,700
32	Fish and Game (Other)				
33	Fund	1,071,600	283,800		1,355,400
34	Fish and Game Set-Aside				
35	Fund		31,300		31,300
36	Fish and Game Set-Aside (Other)				
37	Fund		22,200		22,200

	FOR	FOR	FOR	FOR	
	PERSONNEL	OPERATING	CAPITAL	TRUSTEE AND	
	COSTS	EXPENDITURES	OUTLAY	BENEFIT	TOTAL
				PAYMENTS	
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5	Expendable Big Game Depredation				
6	Fund	2,900			2,900
7	Fish and Game Expendable Trust				
8	Fund	8,100			8,100
9	Fish and Game Nonexpendable Trust				
10	Fund	3,600			3,600
11	Fish and Game (Federal)				
12	Fund	<u>4,473,700</u>	<u>5,841,300</u>		<u>10,315,000</u>
13	TOTAL	\$11,751,900	\$12,086,300		\$23,838,200
14	B. ENFORCEMENT:				
15	FROM:				
16	Fish and Game				
17	Fund	\$13,500,400	\$2,895,600		\$16,396,000
18	Fish and Game (Other)				
19	Fund	186,000	77,000		263,000
20	Fish and Game Set-Aside (Other)				
21	Fund		20,600		20,600
22	Fish and Game Expendable Trust				
23	Fund		26,400		26,400
24	Fish and Game (Federal)				
25	Fund	<u>2,300</u>	<u>6,700</u>		<u>9,000</u>
26	TOTAL	\$13,688,700	\$3,026,300		\$16,715,000
27	C. FISHERIES:				
28	FROM:				
29	Fish and Game				
30	Fund	\$5,223,700	\$7,691,400		\$12,915,100
31	Fish and Game (Other)				
32	Fund	3,655,800	8,333,200		11,989,000
33	Fish and Game Set-Aside				
34	Fund	400,700	575,700		976,400
35	Fish and Game Set-Aside (Other)				
36	Fund	179,200	165,700		344,900
37	Fish and Game Expendable Trust				
38	Fund	36,000	333,000		369,000

	FOR	FOR	FOR	FOR	
	PERSONNEL	OPERATING	CAPITAL	TRUSTEE AND	
	COSTS	EXPENDITURES	OUTLAY	BENEFIT	TOTAL
				PAYMENTS	
1					
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5	Fish and Game Nonexpendable Trust				
6	Fund	33,200			33,200
7	Fish and Game (Federal)				
8	Fund	<u>16,656,500</u>	<u>14,465,100</u>		<u>31,121,600</u>
9	TOTAL	\$26,151,900	\$31,597,300		\$57,749,200
10	D. WILDLIFE:				
11	FROM:				
12	Fish and Game				
13	Fund	\$7,881,400	\$6,625,600	\$174,800	\$14,681,800
14	Fish and Game (Other)				
15	Fund	632,000	1,054,100		1,686,100
16	Fish and Game Set-Aside				
17	Fund	192,200	3,666,000		3,858,200
18	Fish and Game Set-Aside (Other)				
19	Fund	1,336,900	325,300		1,662,200
20	Expendable Big Game Depredation				
21	Fund			1,800,000	1,800,000
22	Fish and Game Expendable Trust				
23	Fund	319,400	896,100		1,215,500
24	Fish and Game Nonexpendable Trust				
25	Fund	11,500	2,300		13,800
26	Fish and Game (Federal)				
27	Fund	<u>8,218,000</u>	<u>10,546,400</u>	<u>0</u>	<u>18,764,400</u>
28	TOTAL	\$18,591,400	\$23,115,800	\$1,974,800	\$43,682,000
29	E. COMMUNICATIONS:				
30	FROM:				
31	Fish and Game				
32	Fund	\$2,016,700	\$704,800		\$2,721,500
33	Fish and Game (Other)				
34	Fund	49,600	35,700		85,300
35	Fish and Game Expendable Trust				
36	Fund	30,900	89,000		119,900

		FOR	FOR	FOR	FOR	
	PERSONNEL	OPERATING	CAPITAL	TRUSTEE AND	BENEFIT	
	COSTS	EXPENDITURES	OUTLAY	PAYMENTS		TOTAL
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5	Fish and Game (Federal)					
6	Fund	<u>1,908,800</u>	<u>518,600</u>			<u>2,427,400</u>
7	TOTAL	\$4,006,000	\$1,348,100			\$5,354,100
8	DEPARTMENT					
9	TOTAL	\$74,189,900	\$71,173,800		\$1,974,800	\$147,338,500
10	III. ENDOWMENT FUND INVESTMENT BOARD:					
11	FROM:					
12	Miscellaneous Revenue					
13	Fund	\$81,900	\$14,500			\$96,400
14	Endowment Earnings Administrative					
15	Fund	<u>718,600</u>	<u>204,700</u>			<u>923,300</u>
16	TOTAL	\$800,500	\$219,200			\$1,019,700
17	IV. DEPARTMENT OF LANDS:					
18	A. BUSINESS SERVICES:					
19	FROM:					
20	General					
21	Fund	\$541,600	\$415,100			\$956,700
22	Indirect Cost Recovery					
23	Fund	160,900	129,000			289,900
24	Department of Lands					
25	Fund	942,200	671,100			1,613,300
26	Navigable Waterways					
27	Fund	1,600				1,600
28	Endowment Earnings Administrative					
29	Fund	<u>2,898,400</u>	<u>3,230,300</u>			<u>6,128,700</u>
30	TOTAL	\$4,544,700	\$4,445,500			\$8,990,200
31	B. FOREST RESOURCES MANAGEMENT:					
32	FROM:					
33	General					
34	Fund	\$1,138,400	\$494,400		\$20,000	\$1,652,800
35	Indirect Cost Recovery					
36	Fund	75,500	324,000			399,500

	FOR	FOR	FOR	FOR	
	PERSONNEL	OPERATING	CAPITAL	TRUSTEE AND	
	COSTS	EXPENDITURES	OUTLAY	BENEFIT	TOTAL
				PAYMENTS	
1					
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5	Department of Lands				
6	Fund	1,604,500	908,100		2,512,600
7	Endowment Earnings Administrative				
8	Fund	388,200	82,900		471,100
9	Community Forestry				
10	Fund		20,000	20,000	40,000
11	Federal Grant				
12	Fund	<u>1,204,700</u>	<u>3,125,700</u>	<u>5,415,400</u>	<u>9,745,800</u>
13	TOTAL	\$4,411,300	\$4,955,100	\$5,455,400	\$14,821,800
14	C. TRUST LAND MANAGEMENT:				
15	FROM:				
16	General				
17	Fund	\$153,500	\$2,200		\$155,700
18	Department of Lands				
19	Fund	172,200	279,000		451,200
20	Endowment Earnings Administrative				
21	Fund	<u>16,467,900</u>	<u>13,829,300</u>	<u>\$50,000</u>	<u>30,347,200</u>
22	TOTAL	\$16,793,600	\$14,110,500	\$50,000	\$30,954,100
23	D. FOREST AND RANGE FIRE PROTECTION:				
24	FROM:				
25	General				
26	Fund	\$4,860,800	\$766,100	\$1,660,900	\$7,287,800
27	Department of Lands				
28	Fund	5,321,800	989,800	956,500	7,268,100
29	Endowment Earnings Administrative				
30	Fund			57,500	57,500
31	Federal Grant				
32	Fund	<u>826,400</u>	<u>1,305,000</u>	<u>450,000</u>	<u>2,581,400</u>
33	TOTAL	\$11,009,000	\$3,060,900	\$3,124,900	\$17,194,800
34	E. SCALING PRACTICES:				
35	FROM:				
36	Department of Lands				
37	Fund	\$264,600	\$58,200		\$322,800

	FOR	FOR	FOR	FOR	
	PERSONNEL	OPERATING	CAPITAL	TRUSTEE AND	
	COSTS	EXPENDITURES	OUTLAY	BENEFIT	TOTAL
				PAYMENTS	
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5	F. MINERALS, PUBLIC TRUST, OIL AND GAS:				
6	FROM:				
7	General				
8	Fund	\$936,900	\$134,000		\$1,070,900
9	Department of Lands				
10	Fund	571,300	901,900		1,473,200
11	Oil and Gas Conservation				
12	Fund	165,900	107,800		273,700
13	Navigable Waterways				
14	Fund	<u>1,022,400</u>	<u>443,800</u>		<u>1,466,200</u>
15	TOTAL	\$2,696,500	\$1,587,500		\$4,284,000
16	DIVISION				
17	TOTAL	\$39,719,700	\$28,217,700	\$50,000	\$8,580,300
					\$76,567,700
18	V. DEPARTMENT OF PARKS AND RECREATION -- PARK OPERATIONS PROGRAM:				
19	FROM:				
20	General				
21	Fund	\$3,217,100	\$940,900		\$4,158,000
22	Indirect Cost Recovery				
23	Fund	325,200	199,600		524,800
24	Parks and Recreation				
25	Fund	12,378,000	5,513,200	\$420,000	18,311,200
26	Recreational Fuels				
27	Fund	719,400	928,500	2,971,800	4,619,700
28	Parks and Recreation Registration				
29	Fund	1,520,100	1,351,400	10,350,000	13,221,500
30	Miscellaneous Revenue				
31	Fund	19,600	92,100		111,700
32	Public Recreation Enterprise				
33	Fund	898,000	1,429,000		2,327,000
34	Parks and Recreation Expendable Trust				
35	Fund	610,600	405,600		1,016,200
36	Federal Grant				
37	Fund	<u>1,339,500</u>	<u>631,200</u>	<u>4,227,500</u>	<u>6,198,200</u>
38	TOTAL	\$21,027,500	\$11,491,500	\$17,969,300	\$50,488,300

	FOR	FOR	FOR	FOR	
	PERSONNEL	OPERATING	CAPITAL	TRUSTEE AND	
	COSTS	EXPENDITURES	OUTLAY	BENEFIT	TOTAL
				PAYMENTS	
VI. DEPARTMENT OF WATER RESOURCES:					
A. MANAGEMENT AND SUPPORT SERVICES:					
FROM:					
General					
Fund	\$933,800	\$919,700			\$1,853,500
Indirect Cost Recovery					
Fund	194,700	198,100			392,800
Water Administration					
Fund		21,800			21,800
Miscellaneous Revenue					
Fund	<u>0</u>	<u>177,400</u>			<u>177,400</u>
TOTAL	\$1,128,500	\$1,317,000			\$2,445,500
B. PLANNING AND TECHNICAL SERVICES:					
FROM:					
General					
Fund	\$4,044,500	\$30,823,500		\$6,713,400	\$41,581,400
Indirect Cost Recovery					
Fund		65,900			65,900
Aquifer Planning and Management					
Fund	1,250,100	457,400			1,707,500
Miscellaneous Revenue					
Fund		164,500			164,500
ARPA State Fiscal Recovery					
Fund				50,000,000	50,000,000
Federal Grant					
Fund	<u>379,700</u>	<u>857,700</u>		<u>0</u>	<u>1,237,400</u>
TOTAL	\$5,674,300	\$32,369,000		\$56,713,400	\$94,756,700
C. WATER MANAGEMENT:					
FROM:					
General					
Fund	\$7,482,900	\$2,274,300			\$9,757,200
Indirect Cost Recovery					
Fund		70,900			70,900

	FOR	FOR	FOR	FOR	
	PERSONNEL	OPERATING	CAPITAL	TRUSTEE AND	
	COSTS	EXPENDITURES	OUTLAY	BENEFIT	TOTAL
				PAYMENTS	
Water Administration					
Fund	1,742,500	235,000			1,977,500
Miscellaneous Revenue					
Fund	1,121,200	320,200			1,441,400
Federal Grant					
Fund	<u>303,900</u>	<u>348,800</u>			<u>652,700</u>
TOTAL	\$10,650,500	\$3,249,200			\$13,899,700
D. NORTHERN IDAHO ADJUDICATION:					
FROM:					
General					
Fund	\$291,800	\$196,300			\$488,100
Northern Idaho Adjudication					
Fund	<u>97,500</u>	<u>38,700</u>			<u>136,200</u>
TOTAL	\$389,300	\$235,000			\$624,300
E. BEAR RIVER BASIN ADJUDICATION:					
FROM:					
General					
Fund	\$620,900	\$162,500			\$783,400
Bear River Basin Adjudication					
Fund	<u>97,500</u>	<u>0</u>			<u>97,500</u>
TOTAL	\$718,400	\$162,500			\$880,900
DIVISION					
TOTAL	\$18,561,000	\$37,332,700		\$56,713,400	\$112,607,100
GRAND TOTAL	\$199,712,900	\$186,378,000	\$3,374,900	\$95,081,800	\$484,547,600

SECTION 2. FTP AUTHORIZATION. In accordance with Section 67-3519, Idaho Code, each of the programs in Natural Resources is authorized no more than the following number of full-time equivalent positions at any point during the period July 1, 2026, through June 30, 2027, unless specifically authorized by the Governor. The Joint Finance-Appropriations Committee will be notified promptly of any increased positions so authorized.

Department of Environmental Quality	375.00
Department of Fish and Game	550.00
Endowment Fund Investment Board	4.00
Department of Lands	334.93
Department of Parks and Recreation	195.80

1 Department of Water Resources171.00

2 SECTION 3. REMEDIATION PROJECT REPORTING REQUIREMENTS. Moneys de-
3 posited into the Environmental Remediation (Basin) Fund shall be used for
4 remediation of the Coeur d'Alene Basin in accordance with the Superfund
5 contract with the Environmental Protection Agency. The Department of En-
6 vironmental Quality shall submit an annual report to the Governor, the
7 Legislature, and the Basin Environmental Improvement Project Commission on
8 the remediation progress and the expenditures involved.

9 SECTION 4. CASH TRANSFER FOR WASTE REMEDIATION. There is hereby ap-
10 propriated to the Department of Environmental Quality and the Office of the
11 State Controller shall transfer \$1,500,000 from the Water Pollution Control
12 Fund to the Environmental Remediation (Basin) Fund on July 1, 2026, or as
13 soon thereafter as practicable for the period July 1, 2026, through June 30,
14 2027, to be used for Superfund cleanup projects in the Coeur d'Alene Basin.

15 SECTION 5. CASH TRANSFER FOR AGRICULTURAL BEST MANAGEMENT PRACTICES
16 FUND. There is hereby appropriated to the Department of Environmental Qual-
17 ity and the Office of the State Controller shall transfer \$279,000 from the
18 Water Pollution Control Fund to the Agricultural Best Management Practices
19 (BMP) Fund on July 1, 2026, or as soon thereafter as practicable for the pe-
20 riod July 1, 2026, through June 30, 2027.

21 SECTION 6. REQUIREMENTS FOR USE OF THE WATER POLLUTION CONTROL FUND.
22 The appropriation of moneys from the Water Pollution Control Fund in this
23 act for the Department of Environmental Quality shall specifically super-
24 sede the provisions of Section 39-3630, Idaho Code.

25 SECTION 7. REAPPROPRIATION AUTHORITY FOR THE ARPA STATE FISCAL RECOV-
26 ERY FUND. There is hereby reappropriated to the Department of Environmen-
27 tal Quality any unexpended and unencumbered balances appropriated to the De-
28 partment of Environmental Quality from the ARPA State Fiscal Recovery Fund
29 for water infrastructure and remediation projects for fiscal year 2026 from
30 the ARPA State Fiscal Recovery Fund, to be used for nonrecurring expendi-
31 tures related to water infrastructure and remediation projects for the pe-
32 riod July 1, 2026, through June 30, 2027. The Office of the State Controller
33 shall confirm the reappropriation amount, by fund, expense class, and pro-
34 gram, with the Legislative Services Office prior to processing the reappro-
35 priation authorized herein.

36 SECTION 8. REQUIREMENTS FOR USE OF THE ARPA STATE FISCAL RECOVERY FUND.
37 It is the intent of the Legislature to provide no more than \$325,000,000
38 of ARPA funding to support construction of drinking water and wastewater
39 projects. Moneys shall be appropriated from the ARPA State Fiscal Recovery
40 Fund for this purpose. The Department of Environmental Quality may use the
41 ARPA State Fiscal Recovery Fund to fund all eligible planning grant requests
42 received consistent with existing processes. The Department of Environmen-
43 tal Quality shall provide ARPA funding in the form of grants for construction
44 of drinking water and wastewater projects using a tiered approach that pro-

vides the highest level of grant funding to systems with the greatest level of need but least ability to pay, as determined by factors including size of system (smaller systems rank higher), monthly user rates, median income, and readiness to proceed. The Department of Environmental Quality may consider all projects meeting the intended criteria where costs were incurred after March 3, 2021, and where construction will be completed prior to December 31, 2026. This includes funding cost overruns for existing state revolving loan-funded projects currently under construction if they are due to factors such as increased labor and material costs. The Department of Environmental Quality shall provide a written update of recipients to germane legislative committees upon approval by the Board of Environmental Quality. The Department of Environmental Quality shall submit a report to the Governor and the Legislature detailing progress and expenditures by January 12, 2027.

SECTION 9. USE OF GENERAL FUND APPROPRIATION. Notwithstanding the provisions of Idaho Code, or any other provision of law to the contrary, the director of the Department of Environmental Quality is prohibited from reducing the allocation of General Fund moneys provided to the Lake Pend Oreille, Pend Oreille River, Priest Lake and Priest River Commission and the Bear Lake Regional Commission for the period July 1, 2026, through June 30, 2027.

SECTION 10. CONTINUOUS APPROPRIATION -- ENDOWMENT FUND INVESTMENT BOARD. The Endowment Fund Investment Board is hereby granted continuous appropriation authority for consulting fees, custodial fees, investment manager fees, and other portfolio-related external costs for the period July 1, 2026, through June 30, 2027.

SECTION 11. TRANSFERS FROM EARNINGS RESERVE FUNDS -- ENDOWMENT FUND INVESTMENT BOARD. For the period July 1, 2026, through June 30, 2027, it is hereby appropriated and the Endowment Fund Investment Board shall transfer \$117,278,400 as follows: \$72,366,000 from the Public School Earnings Reserve Fund to the Public School Income Fund; \$2,222,400 from the Agricultural College Earnings Reserve Fund to the Agricultural College Endowment Income Fund; \$8,113,160 from the Charitable Institutions Earnings Reserve Fund to the Charitable Institutions Endowment Income Fund; \$8,494,800 from the Normal School Earnings Reserve Fund to the Normal School Endowment Income Fund; \$3,585,600 from the Penitentiary Earnings Reserve Fund to the Penitentiary Endowment Income Fund; \$7,465,200 from the Scientific School Earnings Reserve Fund to the Scientific School Endowment Income Fund; \$7,776,000 from the Mental Hospital Earnings Reserve Fund to the Mental Hospital Endowment Income Fund; and \$7,255,200 from the University Earnings Reserve Fund to the University Endowment Income Fund.

SECTION 12. EXEMPTIONS FROM EXPENSE CLASS TRANSFER LIMITATIONS -- DEPARTMENT OF LANDS. The Department of Lands is hereby exempted from the provisions of Section 67-3511(1) and (3), Idaho Code, allowing unlimited transfers between expense classes for all moneys appropriated to the Forest and Range Fire Protection Program for the period July 1, 2026, through June 30, 2027. Legislative appropriations shall not be transferred from one fund to another fund unless expressly approved by the Legislature.

1 SECTION 13. REAPPROPRIATION AUTHORITY FOR THE CAPITAL DEVELOPMENT PRO-
2 GRAM -- DEPARTMENT OF PARKS AND RECREATION. There is hereby reappropriated
3 to the Department of Parks and Recreation any unexpended and unencumbered
4 balances appropriated or reappropriated to the Department of Parks and
5 Recreation for the Capital Development Program for fiscal year 2026 to be
6 used for nonrecurring expenditures in the Capital Development Program for
7 the period July 1, 2026, through June 30, 2027. The Office of the State Con-
8 troller shall confirm the reappropriation amount, by fund, expense class,
9 and program, with the Legislative Services Office prior to processing the
10 reappropriation authorized herein.

11 SECTION 14. EXEMPTIONS FROM EXPENSE CLASS TRANSFER LIMITATIONS -- DE-
12 PARTMENT OF PARKS AND RECREATION. Notwithstanding the provisions of Section
13 67-3511(2), Idaho Code, trustee and benefit payments appropriated to the De-
14 partment of Parks and Recreation for grants in the Operations Program may
15 be transferred to capital outlay in the Capital Development Program to re-
16 flect grants awarded to the Department of Parks and Recreation for the period
17 July 1, 2026, through June 30, 2027. Legislative appropriations shall not
18 be transferred from one fund to another fund unless expressly approved by the
19 Legislature.

20 SECTION 15. CASH TRANSFER FOR AQUIFER MANAGEMENT -- DEPARTMENT OF WATER
21 RESOURCES. Of the amount appropriated to the Department of Water Resources
22 in Section 1 of this act for the Planning and Technical Services Program
23 from the General Fund, the Office of the State Controller shall transfer
24 \$5,000,000 to the Secondary Aquifer Planning, Management, and Implementa-
25 tion Fund on July 1, 2026, or as soon thereafter as practicable for the period
26 July 1, 2026, through June 30, 2027, to be used for aquifer recharge and man-
27 agement.

28 SECTION 16. CASH TRANSFER FOR THE FLOOD MANAGEMENT PROGRAM -- DEPART-
29 MENT OF WATER RESOURCES. Of the amount appropriated to the Department of
30 Water Resources in Section 1 of this act for the Planning and Technical
31 Services Program from the General Fund, the Office of the State Controller
32 shall transfer \$1,000,000 to the Water Management Fund on July 1, 2026, or as
33 soon thereafter as practicable for the period July 1, 2026, through June 30,
34 2027, to be used for hydrologic data collection, monitoring and modeling,
35 flood-damaged stream channel repair, stream channel improvement, flood risk
36 reduction, or flood prevention projects. These moneys shall be administered
37 by the Idaho Water Resource Board through a competitive, matching grant
38 process that prioritizes projects based on the public benefits they provide.

39 SECTION 17. CASH TRANSFER FOR WATER PROJECTS -- DEPARTMENT OF WATER RE-
40 SOURCES. There is hereby appropriated to the Department of Water Resources
41 and the Office of the State Controller shall transfer \$30,000,000 from the
42 General Fund to the Water Management Fund on July 1, 2026, or as soon there-
43 after as practicable for the period July 1, 2026, through June 30, 2027, to be
44 used for water projects.

1 SECTION 18. WATER MANAGEMENT FUND PROJECTS. Of the amount appropriated
2 to the Department of Water Resources in Section 1 of this act, \$30,000,000
3 shall be used for water projects pursuant to the following criteria:

4 (1) The Water Resource Board shall use the funds for planning, con-
5 struction, rehabilitation, reconstruction, and improvement of water infra-
6 structure throughout the state. Projects shall prioritize:

7 (a) Aquifer recharge, ground water management, and other projects
8 aimed at sustaining aquifer health and long-term water availability;

9 (b) Development and rehabilitation of water storage and conveyance
10 systems, including reservoirs, diversion structures, pipelines, and
11 canals;

12 (c) Water supply and delivery improvements that enhance efficiency and
13 conservation; and

14 (d) Emergency water infrastructure repairs and upgrades to ensure the
15 resilience of vital water systems.

16 (2) Of the moneys appropriated in a single year, no more than 50% of the
17 funds appropriated in this section may be used within a single board dis-
18 trict, as defined in section 42-1732, Idaho Code, unless there are no com-
19 peting funding applications for water infrastructure projects in other dis-
20 tricts for the current fiscal year.

21 (3) The Department of Water Resources shall provide a report to the
22 Joint Finance-Appropriations Committee, to the relevant germane legisla-
23 tive committees, and to the Budget and Policy Analysis Division of the
24 Legislative Services Office no later than December 5, 2026. This report
25 shall include information required in Section 42-1760(3), Idaho Code, in a
26 format determined in consultation with the Budget and Policy Analysis Divi-
27 sion of the Legislative Services Office.

28 SECTION 19. ACCOUNTABILITY REPORTS. Funds specifically identified in
29 statute or in an appropriation act as intended for a certain purpose may
30 be used only for that purpose. Funds provided in this act are subject to
31 accountability reports and management reviews in accordance with Section
32 67-702, Idaho Code, provided the Legislative Services Office auditor has
33 sufficient resources to conduct those reports. State agencies that are
34 authorized to contract for outside audits shall submit those reports to the
35 Joint Finance-Appropriations Committee when those reports become avail-
36 able.

37 SECTION 20. CONDITIONS, LIMITATIONS, AND RESTRICTIONS. Appropriations
38 made pursuant to this act are subject to the conditions, limitations, and re-
39 strictions specified in this act.

40 SECTION 21. An emergency existing therefor, which emergency is hereby
41 declared to exist, this act shall be in full force and effect on and after
42 July 1, 2026.